TEACHER GUIDE **DRAFT**

Pearson BTEC Level 3 National
Certificate in Business (601/7155/8)

Organisational structure

Unit 1: Exploring Business
B1 Structure and organisation

A revision lesson. Pupils run a car dealership in firms of four and revise organisational structure on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup | **Round 1** | **Round 2** | **Round 3** | **Final questions**

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min | **45 min** | 60 min | 75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.

CEO

Staff · Sabotage from Round 2

Finance

Capital & Loans · Investments

Sales & Marketing

Marketing

Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Matrix team problem

Round 1

Sales, finance and workshop staff form a team to launch a service. Each reports to two managers.

Which problem is most likely?

- **A** One manager's span is too narrow
- **B** Too little variety for staff
- **C** Conflicting orders from two bosses
- **D** Less sharing of ideas across teams

ANSWER

✓ Conflicting orders from two bosses

Why: In a matrix staff answer to two managers, whose demands can clash.

2 Branch power risks

Round 1

You let branch managers set prices and hire their own staff.

Which two are the main risks?

- **A** Local managers feel less trusted
- **B** Head office loses some control
- **C** Decisions reach branches slowly
- **D** More decisions go to head office
- **E** Branches charge different prices

ANSWER

✓ Head office loses some control

✓ Branches charge different prices

Why: Local decisions are faster, but less consistent and harder to control.

3 Rank manager cost

Round 2

Three branches: managers, their pay, and the staff they lead.

Order by management cost per worker, lowest first?

- **A** 6 managers on £36,000, 72 staff
- **B** 3 managers on £45,000, 27 staff
- **C** 4 managers on £40,000, 40 staff

ANSWER

1. **6 managers on £36,000, 72 staff**
2. **4 managers on £40,000, 40 staff**
3. **3 managers on £45,000, 27 staff**

Why: £3,000, £4,000 and £5,000 per worker: wider spans cost less.

Topic tasks

4 Delayering saving

Round 2

You cut a layer of middle managers.

Saving in year 1?

Managers removed	**2 staff**
Pay of each, a year	**£35,000**
Redundancy pay, each, once	**£9,000**
Rise, each of the 7 who stay	**£2,500**

ANSWER

£34,500

2 × (£35,000 − £9,000) − 7 × £2,500 = £34,500

Why: Year 1 carries the redundancy pay; the full saving comes from year 2.

5 Who sets prices

Round 3

Buyers complain that the same model costs more in another of your branches.

What should you change, and why?

- **A** Set prices at head office
- **B** Let each branch keep its prices

ANSWER

✓ Set prices at head office

Why: Central pricing makes every branch charge the same.

6 Which structure

Round 3

Your firm has six layers of managers, and each has only three staff.

Which structure is this, and its main risk?

- **A** Flat: slow decisions
- **B** Matrix: two bosses each
- **C** Hierarchical: too little control
- **D** Hierarchical: slow decisions

ANSWER

✓ Hierarchical: slow decisions

Why: Many layers make a hierarchical structure, so messages pass many people.

Final questions

Each pupil answers 6 final questions on organisational structure. They come from these 11 questions.

Then each pupil writes one short answer: “Evaluate letting branch managers set their own prices.”

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1 A dealer group gives each branch manager authority over local pricing within a defined margin floor. What organisational change does this describe?

✓ Decentralisation within a controlled decision boundary

2 A national service network has slow approvals because every local refund must reach head office. Which redesign most directly addresses the delay while retaining control?

✓ Delegate refunds up to a limit; audit exceptions

3 Branch staff wait two days for head-office approval of routine parts substitutions. Best structural response?

✓ Delegate within safety and cost limits; escalate and audit exceptions

4 A dealer group lets each branch manager approve courtesy-car bookings up to a set value without contacting head office. Which organisational feature does this describe?

✓ Delegation of authority within defined limits

5 A sales manager reports to the regional director, who reports to the managing director. Which structure feature is this?

✓ The chain of command

6 A dealer group lets each branch manager set trade-in prices locally instead of head office. What is the main risk?

✓ Branch prices and margins vary

7 After a merger, a workshop manager supervises fourteen technicians instead of six. What has changed, and what is the likely effect?

✓ Wider span: each technician gets less of the manager’s attention

8 A dealer group removes its regional managers, so branch managers report straight to the operations director. What is this change called?

✓ Delayering

9 A dealer group removes its layer of area managers. Each branch manager now reports straight to the regional director. What happens to the director’s span of control?

✓ It widens

10 A dealer group lets each branch manager set used-car prices for their own local market. What is the main benefit of this decentralisation?

✓ Decisions reflect local conditions and are made faster

Final questions

11 Which is a likely drawback of a tall organisational structure in a large dealer group?

✓ **Slow communication between senior managers and sales staff**